AIB AXYS
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www.aib-axysafrica.com



Earnings Note

research@aib-axysafrica.com

Company details

Bloomberg Ticker	COOP:KN
NSE Code:	COOP
Issued Shares (Bn)	5.87
52-week high:	13.35
52-week Low	11.15

As at 17th August 2023

Price chart – Last 12 Months



AIB-AXYS Research, NSE

Historical Price Performance

	1m	3m	6m	12m
Absolute	**-3.73%**	**-5.69%**	**-7.94%**	**-8.30%**

AIB-AXYS Research, NSE

Analysts

Solomon Kariuki

ks@aib-axysafrica.com

Stacy Makau

smakau@aib-axysafrica.com

August 18th 2023

COOP Bank Group HY'23 Earnings Note

Recomm: BUY | **Current Price**: KES 11.60 | **Target Price:** KES 14.46

Summary

- **COOP Group released their HY'23 earnings results posting a 5.87% y/y and 6.67% y/y climb in PAT and EPS respectively** to KES 12.14Bn and KES 2.08 per share respectively. The lenders bottom line growth was driven by a 2.33% y/y growth in net interest income and a 3.95% y/y increase in non-interest income. Trailing ROaE and ROaA improved to 22.16% and 3.58% respectively in HY'23. NIMs remained adequate at 8.22% while profit margin edged up 94bps y/y to 34.32%.
- **Loan book grew 10.70% y/y to KES 365.39Bn faster than the 9.65% y/y growth in customer deposits to KES 463.87Bn** leading to a 75bps growth in the loan deposit ratio to 78.77% from 78.02% in HY'22. On a q/q basis, we observed the customer deposits grew 9.04% faster than the loan book which which we attribute to enhanced efficiency in customer deposit mobilization. We observed considerable growth in the balance sheet by 14.69% y/y to KES 664.95Bn which we attribute to a significant increase in deposits due from banking institutions. Allocation to government securities increased 2.88% y/y to KES 188.46Bn driven by the hunt for higher yields from government securities.

Key Highlights

- **Non-Funded Income Growth Outpaced Net Interest Income:** Net Non-Funded income grew 3.95% y/y to KES 13.82Bn faster than the 2.33% y/y increase in Net Interest Income to KES 21.55Bn. The growth in net interest income was driven by a 11.96% y/y growth in interest income but weighed down by a faster increase in interest expense by 38.90% y/y resulting from the increased cost in deposit mobilization. The growth in non funded income was driven mainly by increased income from loan fees and commissions. Notably, we observed a 10.00% y/y decline in forex income, contrary to the industry trend of uptick in forex trading income from the arbitrage opportunities from the prevailing dollar shortage. Consequently, the NII:NFI revenue mix was maintained at 61:39. The Net Interest Margin (NIM) decreased marginally by 22bps y/y to 8.22% driven by faster growth in cost of funds compared to YIEA. YIEA increased by 27bps y/y to 11.64% driven by risk-based model lending and increase income from government papers. Cost of funds increased by 60bps y/y to 3.82% resulting from the rising interest environment.
- **Improved Efficiency Lowers Operating Costs**: The Cost to Income ratio less impairment declined marginally by 2bps y/y to 46.01% mainly attributable to the 2.96% y/y increase in operating income to KES 35.37Bn and the 11bps decline in operating expenses. Contrary to the industry trend, there was a considerable decline in loan loss provisioning by 14.42% y/y pointing to reduced lending risk following the implementation of risk-based lending model.
- **Asset Quality Concerns persist:** Gross NPLs edged up 14.16% y/y to KES 58.44Bn leading to a 51bps y/y increase in the NPL ratio to 14.58% , higher than the latest industry average of 14.50%. NPL Coverage deteriorated 511bps y/y to 60.73% from 65.83% in HY'22. Cost of risk declined 164bps y/y to 8.09% driven by lower provisioning. We anticipate asset quality to continue coming under pressure due to the weak macroeconomic environment.

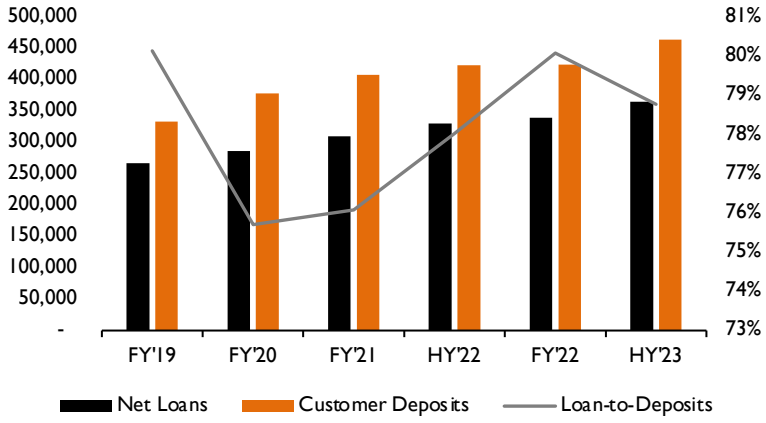
Kingdom Bank Limited – We observed improved performance of the subsidiary with a 28.59% y/y increase in PAT to KES 521.92Mn driven by a 137.64% y/y increase in non-funded income to KES 230.37Mn and an 8.21% y/y increase in net interest income to KES 1.39Bn. Notably, forex trading income grew 376.52% y/y to KES 81.37Mn as the lender took advantage of the arbitrage opportunities created by the dollar shortage. The loan book expanded by 72.57% y/y to KES 8.12Bn faster than the growth in customer deposits by 49.45% y/y to KES 11.21Bn leading to a 970bps increase in the loan deposit ratio to 72.42%. Notably, gross NPL's declined 26.06% y/y to KES 4.44Bn while impairment provisioning increased 144.32% y/y to KES 75.68Mn. Despite commendable performance by Kingdom Bank in HY'23, we expect strained performance in FY'23 as it is set to settle the KES 21.00Bn loan facility they received from CBK for a capital boost.

Outlook – We foresee the lender's growth being driven by digital channels which will continue supporting business operations and growth of the bottom-line. We expect that the risk-based loan pricing model and continued focus on MSME's to continue driving growth of the loan book and consequently interest income. Furthermore, we anticipate that in the long-term, the continued improvement in performance of the banking and non-banking subsidiaries, specifically Kingdom Bank will contribute growth of the group. However, we remain concerned about the declining asset quality.

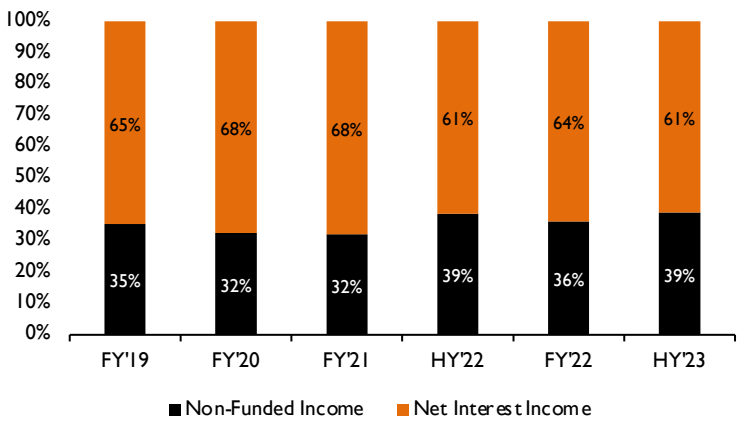
Valuation – The counter is currently trading at a P/B multiple of 0.74x and. P/E ratio of 2.80x. The counter closed yesterdays trading at KES 11.60, a YTD loss of 5.69%. We maintain our **BUY** recommendation on the counter with a target price of KES 14.46 representing a upside of 24.66% from yesterdays closing price.

COOP Group HY'23 Earnings Charts

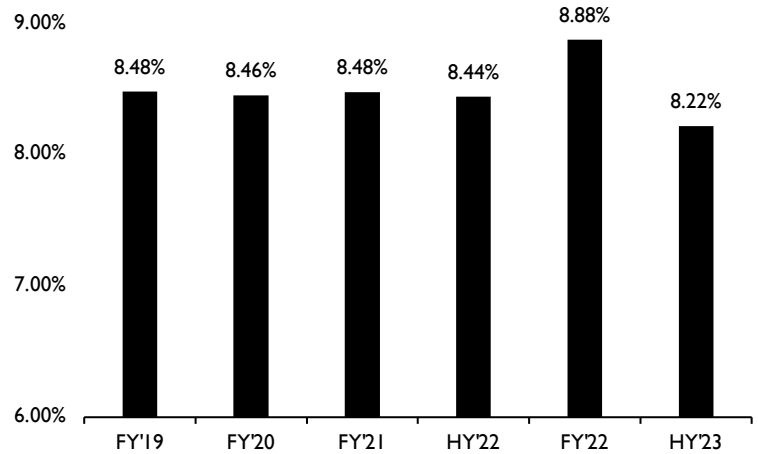
Graph 1: Customer Deposits continue to drive Balance sheet growth



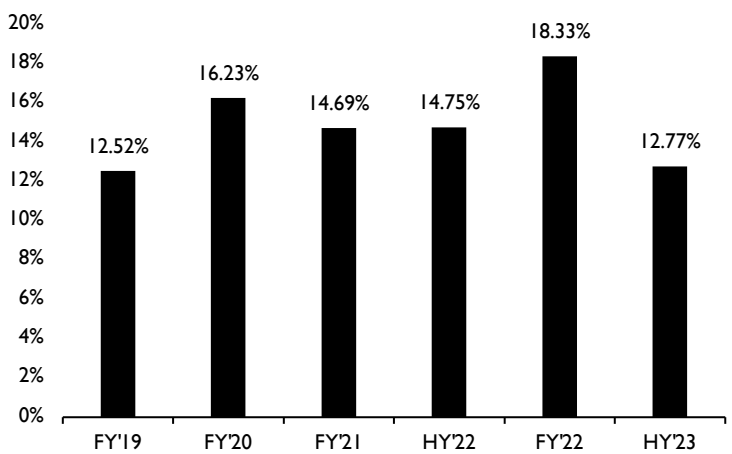
Graph 2: Revenue mix continues to favor Net Interest Income



Graph 3: We observed a slight decrease in Net Interest Margins



Graph 4: Forex Income as a % of Non-Funded Income declined significantly



Source: NSE, CBK, Company Fillings, AIB-AXYS Analyst Estimates

Financial Statement Summary

1. Statement of Profit and Loss

Income Statement	FY'19	FY'20	FY'21	HY'22	FY'22	HY'23	% y/y change
Net Interest Income	31,303	36,349	41,037	21,055	45,525	21,547	2.33%
Net non-Interest Income	17,157	17,481	19,396	13,299	25,730	13,824	3.95%
Total Operating income	48,460	53,830	60,433	34,354	71,255	35,371	2.96%
Provision for Impairment	(2,539)	(8,112)	(7,929)	(3,345)	(8,677)	(2,863)	-14.42%
Total Operating expenses	(27,794)	(39,398)	(38,090)	(19,159)	(42,244)	(19,137)	-0.11%
Profit before tax	20,706	14,282	22,649	15,284	29,427	16,407	7.35%
Profit after tax	14,311	10,813	16,544	11,468	22,038	12,141	5.87%
Annualized EPS	2.44	1.84	2.82	3.91	3.76	4.14	5.87%

2. Statement of Financial Position

	FY'19	FY'20	FY'21	HY'22	FY'22	HY'23	% y/y change
Government Securities	117,803	161,886	184,061	183,197	173,281	188,464	2.88%
Loans and Advances	266,713	286,634	310,195	330,056	339,390	365,388	10.70%
Total Assets	457,009	536,945	579,772	579,772	607,198	664,946	14.69%
Customer Deposits	332,824	378,630	407,726	423,031	423,803	463,874	9.65%
Total Liabilities	376,152	444,897	479,026	479,026	499,251	556,379	16.15%
Shareholder's Funds	79,335	90,726	100,222	96,726	107,678	108,280	11.94%

3. Key Metrics

	FY'19	FY'20	FY'21	HY'22	FY'22	HY'23
Growth Metrices (y/y)						
Loan book Growth	8.68%	7.47%	8.22%	9.58%	9.41%	10.70%
Customer Deposits Growth	8.72%	13.76%	7.68%	3.76%	3.94%	9.65%
PAT Growth	12.40%	-24.44%	53.00%	55.70%	33.21%	5.87%
Spreads Analysis						
Yield on Assets	11.83%	11.36%	11.49%	11.37%	12.04%	11.64%
Cost of Funds	3.58%	3.19%	3.33%	3.22%	3.51%	3.82%
Net Interest Margin	8.48%	8.46%	8.48%	8.44%	8.88%	8.22%
ROaE	19.18%	12.52%	28.56%	21.81%	21.20%	22.16%
ROaA	3.29%	2.15%	4.88%	3.51%	3.71%	3.58%
Profit Margin	29.53%	20.09%	27.38%	33.38%	30.93%	34.32%
Operating Effiency						
Cost of Income Less LLP	52.12%	58.12%	49.91%	46.03%	47.11%	46.01%
Cost of Assets	5.53%	5.83%	5.20%	2.62%	5.53%	2.45%
Loan to Deposit	80.14%	75.70%	76.08%	78.02%	80.08%	78.77%
Asset Quality						
NPL	11.17%	18.69%	14.57%	14.07%	14.01%	14.58%
NPL Coverage	51.76%	50.26%	62.60%	65.83%	65.15%	60.73%
Cost of Risk	5.24%	15.07%	13.12%	9.74%	12.18%	8.09%
Capital Adequency						
Core Capital/TRWA	16.30%	15.40%	15.60%	15.50%	16.90%	16.50%
Total Capital /TRWA	16.80%	16.90%	17.20%	16.60%	18.00%	20.50%
Liquidity	46.20%	52.20%	53.80%	44.50%	48.30%	52.30%

Source: Company Fillings, AIB-AXYS Estimates



Research Desk

Solomon Kariuki
Research Analyst

Stacy Makau
Research Analyst

Email: research@aibaxysafrica.com

Equities Dealing

Nina Goswami

Bernard Kung'u

Bernard Gichuru

Brian Tanui

Samuel Githinji

Sheema Shah

Samuel Wachira

Benson Ngugi

Email: trading@aib-axysafrica.com

Research Desk

Crispus Otieno

Titus Marenye

Aundrina Musyoka

Kenneth Minjire

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